# Motor Vehicles



**Revision Date:**
July 1, 2026

**Background:**
Non-exempt motor vehicles owned by California Work Opportunity and Responsibility to Kids (CalWORKs) customers may be counted towards the Assistance Unit's (AU) resource limit.

**Purpose:**
The purpose of this section is to provide motor vehicle regulations. This material is being updated to incorporate a 0.38% increase to the maximum allowed non-exempt motor vehicle Equity Value (EV). Also with this revision, a chart has been created to transfer the EV amounts information from this section.

**Policy:**
All non-exempt motor vehicles must be evaluated at application, redetermination and when the Assistance Unit (AU) reports on the Eligibility Status Report (SAR 7) that they have acquired a motor vehicle.

Motor Vehicles
Motor vehicles include, but are not limited to the following:

- Cars.
- Trucks.
- Sports Utility Vehicles (SUVs).
- Vans.
- Boats.
- Trailers.
- Campers.
- Recreational Vehicles (RVs).
- Motorcycles.
- Houseboats.
- Jet Skis.
- Snowmobiles.

Exemptions
A motor vehicle's value is exempt as a countable resource if any of the criteria below are met. The motor vehicle's value exclusions also apply to:

- Motor vehicles used by ineligible noncitizens or disqualified persons whose resources are considered available to the family.
- Unlicensed motor vehicles on Indian reservations that do not require motor vehicles driven by tribal members to be licensed.

Exemption criteria include:

- Used over 50% of the time to produce income (for example, taxi, truck, or fishing boat).
- Used 50% or less of the time to annually produce income (that is consistent with its Fair Market Value [FMV] as defined in CalWORKs Program Guide [CPG] 42-200.D), even if used on a seasonal basis.
- Necessary for long-distance travel, other than daily commuting, that is essential to the employment of the family member (for example, traveling salesperson, or a migrant farm worker following the work stream).

- Would be exempted under any of the above, but the motor vehicle is not in use because of temporary unemployment (for example, a taxi driver is ill and cannot work, or a fishing boat is frozen in and cannot be used).
- Used as the family's home.
- Necessary to transport a physically disabled family member, including an excluded disabled family member, regardless of the purpose of the transportation and all of the following apply:
  - Limited to one motor vehicle per physically disabled family member.
  - The motor vehicle does not need to have special equipment or be primarily used by the physically disabled family member.

  If the person's physical disability is not evident, verification from a physician certifying that the person is physically disabled must be provided.
- Used to carry fuel for heating or water for home use when the respective items transported are the primary source of fuel or water for the family.
- If leased, it is not a resource until a transfer of ownership to the customer has occurred.
- Ownership of the motor vehicle was transferred through a gift, donation, or family transfer; verification from the Department of Motor Vehicles (DMV) is required:
  - DMV charges a fee for the transfer verification; refer to CPG 22-000.B if the customer needs help obtaining the documentation or is unable to pay the DMV fee.
  - The customer will be allowed adequate time to apply for and receive verification from the DMV as follows:
    - 30 days from the date the customer requested the verification for the DMV to mail the verification to the customer and provide the documentation.
    - An additional 30 days to submit the DMV verification if, at no fault of the customer, the DMV has failed to provide the transfer verification to the customer.
    - If the DMV verification has not been provided by the customer by the 60th day, the process to discontinue the case will begin if the value of the motor vehicle puts the AU over the maximum allowable resource limit.

<u>Inaccessible Motor Vehicles</u>

If a motor vehicle is registered to the AU but the motor vehicle is inaccessible because it is in the possession of a person who is not in the AU (for example, separated spouse), that motor vehicle cannot be automatically excluded as inaccessible. The AU must provide evidence (a statement from the individual refusing access, or from a collateral contact, or from the AU) that the motor vehicle is inaccessible before it can be excluded.

Examples:

- The whereabouts of the person with the motor vehicle are unknown.
- The motor vehicle is in a locked storage facility, to which the AU has no access.
- The person with the motor vehicle left the AU's residence and refused them access to the motor vehicle.
- The AU does not have the ability to sell the motor vehicle without the agreement of the joint owner who refuses to comply.

Determining the Motor Vehicle's Value
The customer is required to self-certify, under penalty of perjury, the motor vehicle's FMV, encumbrances, and identify any possible motor vehicle exemptions, by completing a Self-Certification Form for Motor Vehicles (CW 80).

Fair Market Value
The customer's entry of the FMV amount on the self-certification form will be accepted. If the information provided is questionable and any discrepancies could potentially affect the AU's eligibility, the customer needs to be allowed to correct/clarify the discrepancies.

If the customer requests assistance or is unable to determine the motor vehicle's FMV on their own, assist them by using the Kelly Blue Book (KBB) or other reputable resources. If the customer disagrees with the KBB value, allow them an opportunity to acquire a written estimate of the value from a dealer, broker, repair facility, personal property appraiser, financial institution, or other legitimate source. The written estimate will be accepted as the FMV.

Motor Vehicle Encumbrances
For purposes of determining the EV of the motor vehicle, the encumbrance is the amount that the customer is obligated to pay for the motor vehicle, or the amount owed on the motor vehicle.

Allow the customer an opportunity to acquire verification or other legitimate documentation. The written verification will be accepted as the amount of the encumbrances.

Fees that must be paid to have the motor vehicle's ownership transferred, overdue registration, or other charges, are not considered encumbrances when determining the EV.

Equity Value
The EV is the FMV minus encumbrances. Any EV that exceeds the EV threshold must be counted toward the AU's maximum resource limit. Each motor vehicle value determination must be documented in the case.

Effective January 1, 2021, the EV threshold will be adjusted upward annually on July 1 by the increase, if any, in the United States (U.S.) Transportation Consumer Price Index for All Urban Consumers (CPI-U) published by the U.S. Department of Labor, Bureau of Labor Statistics.

Refer to CPG 45-200 – Property and Motor Vehicle Equity Value Limit chart for updated EV limit for motor vehicles.

The denial/discontinuance Notice of Action, due to excess resources resulting from the final motor vehicle's value used for the asset test, must inform the customer of their right to rebut that motor vehicle's value.

**Procedure:**
Processing Guide 42-200.I1 Steps in Evaluating Motor Vehicle.
CPG 45-200 – Property and Motor Vehicle Equity Value Limit chart.

**Impacts:**
Refugee Cash Assistance/Trafficking and Crime Victims Assistance Program CalWORKs
CalWORKs regulations apply to financial eligibility and payments for the Refugee Cash Assistance (RCA) program, unless specifically superseded by RCA regulations. Unless otherwise provided, Trafficking and Crime Victims Assistance Program (TCVAP) customers must be provided cash assistance under the same conditions and to the same extent as the RCA program.

**References:**
Manual of Policies and Procedures (MPP) 42-215.4.
All County Letters (ACLs) 13-111, 15-27, 18-76, 19-67, 21-38, 23-47, 24-36, 25-37, 26-38.
All County Information Notice (ACIN) I-42-23.

**Sunset Date:**
This policy will be reviewed for continuance by July 31, 2029.

**Approval for Release:**
10/2/24
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